Today few informed people have much doubt that the company's long series of technical and business “firsts” will continue in the years ahead.

How has the market price of these shares responded to all this? Has the price-earnings ratio continued to advance as, twenty-two months ago, I indicated appeared probable? The record would appear to be in the affirmative. Per-share earnings have a little more than tripled since 1957. The stock is up over five times from the price of 26½ at which it was selling when the first edition was completed. The current price, incidentally, represents a gain of better than 1000 per cent from the price of 14, which was mentioned in the original edition as the price at which a fair-sized block of this stock had been bought less than three and one-half years before. In spite of this steep rise it will be interesting to see whether further gains in sales and earnings in the years ahead do not produce still more worthwhile appreciation.

This brings up another line of reasoning which causes some investors to pay undue attention to these unrelated statistics on past price ranges and per-share earnings. This is the belief that whatever has happened for a number of years is bound to continue indefinitely. In other words, some investors will find a stock the per-share earnings and market price of which have risen in each of the past five or ten years. They will conclude that this trend is almost certain to continue indefi-nitely. I will agree that this might happen. But in view of the uncertainty in timing the results of research and of the costliness of bringing out the new products that make this type of growth possible, it is quite common for even the most outstanding growth companies to have occasional one- to three-year dips in their rate of earnings. Such dips can produce sharp declines in their shares. Therefore, to give emphasis to this kind of past earning record, rather than to the background conditions that can control the future earning curve, may prove very costly.

Does all this mean that past earnings and price ranges should be completely ignored in deciding whether to buy a stock? No. It is only when given an importance they do not deserve that they become dangerous. They are helpful as long as it is realized they are only auxiliary tools to be used for specialized purposes and not major factors in decid-ing the attractiveness of a common stock. Thus, for example, a study of per-share earnings for various prior years will throw considerable light on how cyclical a stock